



THE END OF AMERICAN FINANCIAL EXCEPTIONALISM

As the dollar cycle reverses and Asia's rise continues, Indian growth will accelerate

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AMERICA LOOMS LARGE on the financial world. While in the realm of geopolitics and even geo-economics, there is much talk about multipolarity—that is not the case for capital markets. America has half of the world's market capitalisation, even as it has a quarter of world GDP (and a sixth of world GDP when adjusted for cost of living.) All this for a population that is around 4% of the world.

India on the other hand has more than a sixth of global population, and only about 4% of the market cap. China with a similar population share and a much bigger economy, does only somewhat better even if one includes Hong Kong and takes out the redundancies. Europe is stagnating for now, and Japan is at best a value investor's playground, not a growth one.

Much of this exceptional American success can be attributed to it being a largely welcoming society with its now-famous melting pot, a great secure geography with

massive natural resources, a mature if turbulent democracy and a system that broadly respects hard work and merit. Yet time and scale have been the real secrets of America.

Growth, peace, and the magic of compounding for generations allowed America to take the crown from its Anglo cousins in England and see off competitors from Russia to Germany to Japan.

But just like America today has almost as many people as Russia, Germany and Japan combined, both India and China have more than four times the number of people as America. Both India and China got modern administrative states with relative domestic peace less than eight decades ago. By then, America already had eight decades of growth after its Civil War starting off an already high per capita base.

China is ahead of India in overall development by two decades at most, but there are doubts about peaceful transfer of power in its communist autocracy, especially after the collective leadership model has been junked. India, while a young though robust democracy, is only now beginning to provide basics—electricity, drinking water, higher education, healthcare, expressways, metros—with still a long way to go.

The US on the other hand has mega-billionaires shooting for Mars and is heralding rapid developments in AI and quantum computing. Are others doomed to be digital-finan-

cial neo-colonies this time?

Not so fast. We must always be wary of conflating cyclical trends with structural ones. We will briefly explore both.

Part of American exceptionalism today is just the dollar being at a cyclical high against a basket of currencies and after adjusting for cost-of-living changes. The dollar has had three full cycles since the closing of the gold window by Nixon in 1971. The first one (dollar down, then up) lasted till 1985. The second one till 2002, and the third one—I am positing—till around 2025.

Focusing only on the half-cycles where the dollar appreciated, the first one was 1978 to 1985, which culminated in the Plaza Accord where Reagan cajoled the Europeans and Japanese to appreciate their currencies. The second one was from 1995 to 2002, when emerging markets, led by China, began growing fast. Both these up-cycles were for seven years or less. The third dollar up-cycle, if it ends in 2025, would have lasted 14 years (began in 2011)—twice as long.

The dollar then is already on borrowed time, but cyclically not structurally (which is the mistake many US perma-bears also make, in a mirror image of the perma-bulls). Shale, Covid, Ukraine, Artificial Intelligence—there were a bunch of reasons why this half cycle lasted much longer. And while the past rhymes and does not repeat (hence economics must rid itself of its phys-